Property & Casualty Insurance Study Guide

An Original Exam Preparation Manual

This guide is an independent study resource covering the core topics typically tested on state Property & Casualty (P&C;) producer licensing examinations. It is written from general, publicly available insurance principles and is not a reproduction of any publisher's copyrighted exam manual.

Table of Contents

Chapter 1: Foundations of Insurance and Risk

1.1 What Is Risk?

Risk is the uncertainty concerning the occurrence of a loss. In insurance, we distinguish between two broad categories:

- **Pure risk** — a situation where there is only the possibility of loss or no loss, with no possibility of gain (e.g., a house burning down). Only pure risks are insurable.
- **Speculative risk** — a situation where there is a possibility of loss, no loss, or gain (e.g., gambling or investing). Speculative risks are not insurable.

Risk can further be broken down into:

- **Financial risk** vs. **non-financial risk** — insurance only addresses risks that can be measured in monetary terms.
- **Particular risk** — affects individuals or small groups (a single car accident).
- **Fundamental risk** — affects large groups or society as a whole (earthquakes, pandemics, war). Fundamental risks are often excluded or handled through government programs because they are not well suited to private insurance pooling.

1.2 Peril and Hazard

- A **peril** is the actual cause of a loss (fire, windstorm, theft, collision).
- A **hazard** is a condition that increases the chance a peril will occur or that increases the severity of a loss. Hazards are classified as:
- **Physical hazard** — a tangible condition that increases the probability of loss (e.g., frayed electrical wiring).
- **Moral hazard** — dishonesty or character defects that increase the frequency or severity of loss (e.g., a person who intentionally causes a loss to collect insurance proceeds).
- **Morale hazard** — carelessness or indifference to loss because a person knows they are insured (e.g., leaving a car unlocked because it's insured against theft).
- **Legal hazard** — characteristics of the legal system that increase the frequency or severity of losses, such as a jurisdiction prone to large liability verdicts.

1.3 Methods of Handling Risk

Risk management is the process of identifying, analyzing, and responding to risk exposures. The four classic techniques are:

1. Risk avoidance — eliminating the exposure entirely (e.g., not manufacturing a hazardous product).

2. Risk reduction (control) — taking steps to lessen the frequency or severity of loss (e.g., installing smoke detectors, sprinkler systems, or safety training).

3. Risk retention — accepting the financial responsibility for a loss, either voluntarily (self-insurance, deductibles) or involuntarily (unidentified/uninsured exposures).

4. Risk transfer — shifting the financial burden of risk to another party, most commonly through the purchase of insurance, but also through contractual hold-harmless/indemnification agreements.

1.4 The Law of Large Numbers

Insurance operates on the **law of large numbers**, a statistical principle stating that as the number of similar exposure units increases, the more closely the actual results will approach the expected results. This allows insurers to predict losses for a large pool of policyholders with reasonable accuracy, even though they cannot predict which individual will suffer a loss.

1.5 Elements of an Insurable Risk

For a risk to be commercially insurable, it generally should meet these criteria:

- There must be a large number of similar, independent, and homogeneous exposure units.
- The loss must be **accidental** and unintentional from the insured's standpoint.
- The loss must be **definite and measurable** in terms of time, place, and amount.
- The loss must be **calculable** — the insurer must be able to estimate the average frequency and severity.
- The loss must **not be catastrophic** to the insurer (this is why fundamental risks like war or nuclear hazards are typically excluded).
- The premium must be **economically feasible** relative to the coverage provided.

1.6 Basic Insurance Concepts

- **Insurable interest**: A person must stand to suffer a genuine financial loss if the insured property is damaged or destroyed, or if the insured party is held liable. For property insurance, insurable interest must exist at the time of loss. For liability insurance, insurable interest is presumed to always exist because anyone can be sued.
- **Principle of indemnity**: Insurance is designed to restore an insured to the approximate financial condition that existed before the loss — no better, no worse. This principle prevents policyholders from profiting from a loss.

- **Actual cash value (ACV)**: A common method of valuing property losses, generally calculated as replacement cost minus depreciation.
- **Subrogation**: The insurer's legal right, after paying a claim, to "step into the shoes" of the insured and pursue recovery from a negligent third party who caused the loss. Subrogation prevents the insured from collecting twice (once from the insurer, once from the at-fault party) and helps keep premiums lower industry-wide.
- **Utmost good faith**: Insurance contracts require a higher degree of honesty than ordinary commercial contracts. This is expressed through:
- **Representations** — statements made by the applicant that are believed to be true to the best of their knowledge (as opposed to warranties, which must be exactly true).
- **Concealment** — failure to disclose a known material fact.
- **Fraud** — an intentional misrepresentation of material fact made to induce the insurer to issue a policy.
- **Warranty** — a statement guaranteed to be true, forming part of the contract; breach can void the policy regardless of materiality (rare in modern personal lines contracts, more common in ocean marine).

1.7 Characteristics of an Insurance Contract

Insurance contracts have unique legal characteristics compared to standard contracts:

- **Aleatory** — the dollar values exchanged by each party are unequal and depend on an uncertain event (a policyholder may pay a small premium and receive a large claim payment, or vice versa).
- **Adhesion** — the contract is prepared entirely by one party (the insurer), and the other party (the insured) must accept or reject it as written. Because of this, any ambiguity in the contract is interpreted in favor of the insured (*contra proferentem*).
- **Unilateral** — only one party (the insurer) makes a legally enforceable promise. The insured is not legally obligated to pay premiums, but the insurer is obligated to pay covered claims if premiums are paid.
- **Conditional** — the insurer's promise to pay is conditioned upon the insured fulfilling certain duties, such as paying premiums, submitting proof of loss, and cooperating in an investigation.
- **Personal**: A contract between the insurer and a specific named insured; property policies do not automatically transfer with the sale of the property.
- **Executory**: One or both parties have not yet fully performed their contractual duties at any given time.

1.8 Elements of a Legal Contract

All insurance contracts must meet the general legal requirements of any valid contract:

1. Offer and acceptance — In most cases, the applicant makes the offer by submitting a completed application, and the insurer accepts by issuing the policy.

2. Consideration — something of value exchanged by both parties; for the insured, this is the premium (and the statements made in the application); for the insurer, this is the promise to pay covered losses.

3. Legal purpose — the contract must be for a lawful purpose and cannot violate public policy.

4. Competent parties — both parties must have the legal capacity to enter into a contract (e.g., be of sound mind, of legal age, and not intoxicated).

Chapter 2: Insurance Regulation and Producer Licensing

2.1 Why Insurance Is Regulated

Insurance is regulated primarily at the **state level** in the United States, rather than at the federal level, largely due to the **McCarran-Ferguson Act of 1945**, which affirmed that the business of insurance is subject to state regulation and is generally exempt from federal antitrust laws to the extent it is regulated by the states. Each state has an **insurance department** headed by a **Commissioner, Director, or Superintendent of Insurance** (title varies by state), who is responsible for enforcing the state's insurance code.

The purposes of insurance regulation include:

- Ensuring insurer **solvency** so companies can pay claims.
- Protecting consumers from unfair trade practices, discrimination, and misrepresentation.
- Ensuring rates are **adequate, not excessive, and not unfairly discriminatory**.
- Licensing and supervising insurers and producers.
- Approving policy forms.

2.2 The NAIC

The **National Association of Insurance Commissioners (NAIC)** is not a regulatory body itself; it is an organization made up of the insurance commissioners of all 50 states, DC, and U.S. territories. The NAIC develops **model laws and regulations** that states may choose to adopt, in whole or in part, to promote uniformity across states. It also maintains databases used for producer licensing (e.g., the National Insurance Producer Registry, or NIPR) and company financial oversight.

2.3 Types of Insurers

Insurers can be classified by several methods:

By legal form of ownership:

- **Stock insurer** — owned by shareholders; policyholders are simply customers. Profits are distributed to shareholders as dividends.
- **Mutual insurer** — owned by its policyholders. Some mutuals pay policyholder dividends (a return of excess premium, not taxable income) when the company performs better than expected.
- **Reciprocal exchange** — an unincorporated group in which subscribers (members) insure each other's risks, managed by an attorney-in-fact.

- **Lloyd's association** — not an insurance company itself, but a marketplace where groups of individual and corporate "Names" or syndicates underwrite portions of risk.
- **Fraternal benefit society** — a nonprofit organization that provides insurance benefits to its members, often organized around a common religious, ethnic, or professional bond.

By licensing status in a given state:

- **Domestic insurer** — organized under the laws of the state in question.
- **Foreign insurer** — organized under the laws of another U.S. state.
- **Alien insurer** — organized under the laws of a country outside the United States.

By authorization status:

- **Admitted (authorized) insurer** — licensed to do business in the state; covered by the state guaranty association if it becomes insolvent.
- **Non-admitted (unauthorized/surplus lines) insurer** — not licensed in the state; typically used for unusual or hard-to-place risks. Surplus lines transactions generally require a specially licensed surplus lines broker and are not backed by the state guaranty fund.

2.4 Producer Licensing

A **producer** (agent/broker) must hold a license in each state where they solicit, negotiate, or sell insurance. Key licensing concepts include:

- **Resident license** — issued by the producer's home state.
- **Nonresident license** — issued by a state where the producer does not reside, typically obtained through reciprocity if the producer already holds a resident license in good standing.
- **Agent** — legally represents the insurer and owes the insurer a fiduciary duty.
- **Broker** — legally represents the insured/applicant when seeking coverage, though a broker may also be appointed as an agent for certain insurers.
- **Appointment** — the formal process by which an insurer authorizes a licensed producer to sell/solicit its products; insurers must file appointments with the state.
- **Continuing education (CE)** — most states require licensed producers to complete a set number of CE hours (often including ethics hours) during each renewal period to keep a license active.
- **License renewal, suspension, and revocation** — licenses generally must be renewed periodically (commonly every 1–2 years); the Commissioner may suspend, revoke, or refuse to renew a license for cause (fraud, material misrepresentation on the application, felony conviction, violation of insurance laws, etc.).

2.5 Unfair Trade Practices

Most states have adopted versions of the NAIC's **Unfair Trade Practices Act**, which prohibits practices such as:

- **Misrepresentation** — making false or misleading statements about policy terms, benefits, or the financial condition of an insurer.
- **False advertising**.
- **Defamation** — making false statements intended to injure a competing insurer.
- **Boycott, coercion, and intimidation** — unlawfully restraining competition.
- **False financial statements**.
- **Unfair claims settlement practices** — such as failing to acknowledge claims promptly, failing to adopt reasonable claim investigation standards, or compelling insureds to sue by offering substantially less than what is owed.
- **Twisting** — inducing a policyholder to lapse, forfeit, or surrender an existing policy in order to purchase a new one, to the client's detriment (more common terminology in life insurance, but the concept applies broadly).
- **Rebating** — giving anything of value not specified in the policy (such as cash back or gifts) as an inducement to purchase insurance. Rebating is illegal in most states.
- **Unfair discrimination** — treating individuals in the same risk classification differently in terms of rates or benefits, when there is no actuarially sound basis for doing so. (Note: charging different rates based on legitimate, actuarially justified risk factors — such as driving record or building construction type — is *not* unfair discrimination.)

2.6 Insurance Fraud

Insurance fraud is any act committed with the intent to obtain a fraudulent outcome from an insurance process. It can be committed by applicants, policyholders, claimants, or even producers and insurer employees. Common examples include:

- Submitting a false or inflated claim.
- Staging an accident or loss.
- Misrepresenting facts on an application to obtain a lower premium or coverage that wouldn't otherwise be offered.
- A producer misappropriating (embezzling) premium funds ("theft by conversion").

Most states have a **Fraud Bureau** or similar unit within the insurance department to investigate and refer cases for prosecution, and require insurers to report suspected fraud.

2.7 Rate Regulation

States use different approaches to regulate the rates insurers charge:

- **Prior approval** — rates must be filed with and approved by the state before use.
- **File-and-use** — rates may be used as soon as they are filed, subject to later disapproval.
- **Use-and-file** — rates may be used immediately, and must be filed within a specified period afterward.
- **Flex rating** — prior approval is required only if a rate change exceeds a specified percentage.
- **Open competition (no file)** — rates are set by market competition and typically not filed at all.

All rating approaches share the same regulatory objectives: rates must be **adequate** (sufficient to pay losses and expenses), **not excessive** (not unreasonably high relative to the risk), and **not unfairly discriminatory** (similar risks are charged similar rates).

Chapter 3: Property Insurance Fundamentals

3.1 Direct and Indirect (Consequential) Loss

- **Direct loss** — physical damage to covered property caused directly by a covered peril (e.g., fire damage to a roof).
- **Indirect (consequential/time-element) loss** — a loss that results indirectly from a direct loss, such as loss of use, additional living expenses, or business income loss while property is being repaired. Indirect losses are only covered if the policy specifically provides for them, and typically only when triggered by a direct loss from a covered peril.

3.2 Named-Peril vs. Open-Peril (All-Risk) Policies

- **Named-peril (specified-peril) policy** — covers loss only from perils specifically listed in the policy. The burden of proof is on the insured to show the loss was caused by a listed peril.
- **Open-peril (special form / "all-risk") policy** — covers loss from any cause except those specifically excluded. The burden of proof shifts to the insurer to show that an exclusion applies.

3.3 Valuation Methods

- **Actual cash value (ACV)** — commonly calculated as replacement cost minus depreciation, though some jurisdictions use a "fair market value" or "broad evidence" approach.
- **Replacement cost (RC)** — the cost to repair or replace damaged property with new property of like kind and quality, without a deduction for depreciation. Many replacement-cost policies require the insured to carry insurance equal to a specified percentage of the property's replacement value (see coinsurance below) and may require the insured to actually repair or replace the property before the full replacement cost is paid; otherwise, payment is made on an ACV basis.
- **Functional replacement cost** — replacement using less costly, functionally equivalent materials (common for older homes where original materials are obsolete or unavailable).
- **Agreed value** — the insurer and insured agree in advance on the value of the property, waiving any coinsurance penalty, often used for property that is hard to value (antiques, fine art) or in commercial property when the agreed value option is elected.
- **Stated value** — a value stated on the policy (often for classic cars/collector vehicles) that generally sets a maximum payable amount, but the insurer may still only pay actual cash value up to that stated amount.

3.4 Coinsurance

Coinsurance is a provision common in commercial (and some personal) property policies that requires the insured to carry insurance equal to a specified percentage (commonly 80%, 90%, or 100%) of the property's value at the time of loss. If the insured fails to carry the required amount, they become a "co-insurer" and share proportionately in any loss. The coinsurance penalty formula is:

Amount Paid = (Amount of Insurance Carried ÷ Amount of Insurance Required) × Loss – **Deductible**

Example: A building is worth $500,000 and subject to an 80% coinsurance clause (requiring $400,000 of coverage). The owner only carries $300,000. A $100,000 loss occurs.

Amount Paid = ($300,000 ÷ $400,000) × $100,000 = $75,000 (before any deductible)

Because the insured only carried 75% of the required amount, they are penalized and only recover 75% of the loss, absorbing the rest themselves as a "co-insurer."

3.5 Deductibles

A **deductible** is the amount of loss the insured must absorb before the insurer pays. Deductibles reduce moral/morale hazard, eliminate small nuisance claims, and lower premiums. Common types include:

- **Straight (flat) deductible** — a fixed dollar amount applies to each loss.
- **Percentage deductible** — a percentage of the insured value or of the loss (common for hurricane/named-storm and earthquake coverage).
- **Disappearing deductible** — the deductible decreases as the loss amount increases, disappearing entirely above a certain loss threshold.
- **Aggregate deductible** — applies to the total of all losses during a policy period rather than to each individual loss.

3.6 Other Insurance / Loss Sharing Provisions

When more than one policy covers the same loss, several methods are used to determine each insurer's share:

- **Pro rata liability** — each insurer pays its proportionate share based on the amount of insurance it provides relative to the total insurance in force.
- **Contribution by equal shares** — each insurer contributes equally until the loss is paid or a policy limit is exhausted (common for liability policies with equivalent limits).
- **Primary and excess (excess insurance)** — one policy pays first (primary), and any remaining loss is paid by an excess policy up to its limit.

3.7 Property Policy Conditions

Standard property policy conditions typically include:

- **Duties after loss** — the insured must give prompt notice, protect property from further damage (sue and labor / duty to mitigate), prepare an inventory of damaged property, and cooperate with the insurer's investigation.
- **Proof of loss** — a sworn statement detailing the loss, typically due within 60 days of the insurer's request.
- **Appraisal** — if the insurer and insured disagree on the amount of loss (but not on whether coverage applies), either party may demand appraisal. Each side selects a competent, disinterested appraiser; the two appraisers select an umpire; agreement by any two of the three sets the amount of loss.
- **Abandonment** — the insured generally cannot abandon damaged property to the insurer and demand payment for a total loss.
- **Mortgagee clause** — protects a lender's interest in mortgaged property; allows the mortgagee to collect insurance proceeds even if the policy would otherwise be void due to the actions of the property owner (e.g., arson by the owner), as long as the mortgagee did not know of or participate in the act.
- **Vacancy/unoccupancy clause** — coverage for certain perils (theft, vandalism, glass breakage) may be suspended if a dwelling is vacant beyond a specified period (commonly 30 or 60 consecutive days).

Chapter 4: Homeowners Insurance

4.1 Overview of Homeowners Forms

The Insurance Services Office (ISO) publishes standardized homeowners forms used (often with state-specific modifications) throughout much of the country:

Form	Common Name	Coverage Type	Typical Use
HO-2	Broad Form	Named perils (broad list)	Owner-occupied dwellin
HO-3	Special Form	Open perils on dwelling; named perils on contents	Most common owner-oc
HO-4	Contents Broad Form	Named perils on contents only	Renters/tenants
HO-5	Comprehensive Form	Open perils on dwelling and contents	Higher-value homes
HO-6	Unit-Owners Form	Named perils on contents; limited coverage on unit improvements	Condominium owners
HO-8	Modified Coverage Form	Named perils, ACV-focused	Older homes where rep

4.2 Homeowners Coverage Parts (Section I — Property)

- **Coverage A – Dwelling**: the main dwelling structure, including attached structures.
- **Coverage B – Other Structures**: detached structures on the residence premises (detached garage, shed, fence), typically 10% of Coverage A.
- **Coverage C – Personal Property**: the insured's personal belongings, typically 50–70% of Coverage A. Special sublimits apply to certain categories (cash, securities, jewelry, firearms, silverware, business property) unless additional coverage is scheduled.
- **Coverage D – Loss of Use**: additional living expenses (ALE) if the insured cannot live in the home due to a covered loss, and fair rental value if the insured rents out part of the property, typically 20–30% of Coverage A.

4.3 Homeowners Coverage Parts (Section II — Liability)

- **Coverage E – Personal Liability**: pays on behalf of the insured for bodily injury or property damage to others for which the insured is legally liable, including the cost of defense (defense costs are typically paid in addition to the limit of liability).
- **Coverage F – Medical Payments to Others**: pays necessary medical expenses to a person injured on the insured premises (or by the insured's activities/animals) regardless of fault, up to a small limit (commonly $1,000–$5,000). This is a "good faith" coverage designed to prevent small claims from becoming lawsuits.

4.4 Key Exclusions

Common homeowners exclusions include:

- **Earth movement** (earthquake, landslide, sinkhole in some states) — usually available by separate endorsement.
- **Flood/surface water** — excluded from all standard homeowners forms; separate flood coverage must be purchased, typically through the National Flood Insurance Program (NFIP) or a private flood carrier.
- **Water backup of sewers/drains** — often excludable unless added by endorsement.
- **Nuclear hazard**.
- **War**.
- **Ordinance or law** (cost to comply with updated building codes after a loss) — limited coverage often available by endorsement.
- **Intentional acts** by the insured.
- **Business pursuits** — commercial activities conducted on the premises usually require a separate business/commercial policy or endorsement.
- **Neglect** — failure to use reasonable means to protect property after a loss.

4.5 Common Endorsements

- **Scheduled Personal Property Endorsement** — provides higher limits and broader (often open-peril) coverage for specifically listed valuable items like jewelry, furs, and fine art.
- **Personal Liability Umbrella Policy (PLUP)** — provides an extra layer of liability coverage above the underlying homeowners/auto policy limits, and often broadens coverage for claims not covered by the underlying policies (subject to a self-insured retention).
- **Water Backup and Sump Overflow Endorsement**.
- **Ordinance or Law Endorsement**.
- **Earthquake Endorsement**.
- **Inflation Guard Endorsement** — automatically increases coverage limits over the policy period to keep pace with inflation/construction costs.
- **Replacement Cost on Contents Endorsement** — upgrades Coverage C from ACV to replacement cost.

4.6 Dwelling Policies (DP Forms)

Dwelling policies are typically used for non-owner-occupied dwellings (rental/investment property) or dwellings that don't qualify for a homeowners policy:

- **DP-1 (Basic Form)** — named perils, ACV valuation, most limited form.

- **DP-2 (Broad Form)** — broader list of named perils, can be written on a replacement-cost basis.
- **DP-3 (Special Form)** — open-peril coverage on the dwelling, the broadest dwelling form.

Dwelling policies use **Coverage A (Dwelling)**, **Coverage B (Other Structures)**, **Coverage C (Personal Property)** (limited, since the insured typically doesn't live there), and **Coverage D (Fair Rental Value / Additional Living Expense)** rather than the homeowners lettering scheme for loss of use.

Chapter 5: Personal Auto Policy (PAP)

5.1 Eligibility and Declarations

The Personal Auto Policy (PAP) is designed for individuals and families who own or lease private passenger autos, and in some cases pickup trucks and vans used for personal/family purposes. The declarations page lists the named insured, described vehicles, coverages and limits selected, and premium.

Who is an "insured" typically includes:

- The named insured and resident relatives, for any auto.
- Any person using a **covered auto** with permission.
- The named insured and resident relatives when using a **non-owned auto**.

5.2 Part A — Liability Coverage

Pays damages for bodily injury and property damage for which an insured is legally liable, arising out of the ownership, maintenance, or use of a covered auto, plus defense costs. Common exclusions under Part A include intentional injury, using a vehicle to carry persons/property for a fee (ride-share/livery use, generally requiring endorsement), racing, and using a vehicle not covered under the policy that the insured owns but failed to declare.

Liability limits are often expressed in a split-limit or combined single-limit format:

- **Split limits** — e.g., 100/300/50 means $100,000 bodily injury per person, $300,000 bodily injury per accident, $50,000 property damage per accident.
- **Combined single limit (CSL)** — a single limit applies to all bodily injury and property damage combined for an accident (e.g., $300,000 CSL).

5.3 Part B — Medical Payments Coverage

Pays reasonable medical and funeral expenses for the named insured and passengers injured in a covered auto accident, regardless of fault, up to the policy limit. In no-fault states, this coverage is often replaced or supplemented by **Personal Injury Protection (PIP)**.

5.4 Part C — Uninsured Motorists (UM) / Underinsured Motorists (UIM) Coverage

Protects the insured when injured by a driver who has no liability insurance (uninsured) or insufficient liability limits to cover the loss (underinsured). Coverage can also apply to hit-and-run accidents. UM/UIM coverage is mandatory in many states (though it may be rejected in writing in some), because it protects the insured's own household from the financial irresponsibility of others.

5.5 Part D — Coverage for Damage to Your Auto (Physical Damage)

- **Collision coverage** — pays for damage to the insured's own auto resulting from a collision with another object or from overturning, regardless of fault.
- **Other-Than-Collision (Comprehensive) coverage** — pays for damage from causes other than collision, such as fire, theft, vandalism, falling objects, glass breakage, hail, and contact with animals.
- Both coverages are typically subject to a deductible and pay on an ACV basis (with depreciation applied).

5.6 Part E — Duties After an Accident or Loss

Requires the insured to notify the insurer promptly, cooperate in the investigation, submit to examination under oath if requested, and protect the vehicle from further loss.

5.7 Part F — General Provisions

Includes provisions on policy period/territory, changes to the policy, transfer of interest, and cancellation/nonrenewal procedures.

5.8 Financial Responsibility and No-Fault Laws

- **Financial responsibility laws** require drivers to demonstrate the ability to pay for damages they cause, typically through minimum liability insurance limits, a bond, or a cash deposit.
- **Compulsory insurance laws** require proof of insurance before a vehicle can be registered/operated (stricter than financial responsibility laws, which often only apply after an accident).
- **No-fault (Personal Injury Protection) systems**: In no-fault states, each driver's own insurer pays for that driver's medical expenses and other specified economic losses regardless of who caused the accident, up to a threshold, limiting an injured party's right to sue the at-fault driver except in cases of serious injury (a "tort threshold," which may be dollar-based or verbal/descriptive, e.g., death, dismemberment, or permanent disfigurement).

5.9 Common Auto Endorsements

- **Named Non-Owner Coverage** — liability coverage for a person who doesn't own a vehicle but regularly drives others' vehicles or rents cars.
- **Towing and Labor Coverage**.
- **Rental Reimbursement Coverage** — pays for a rental car while the insured's vehicle is being repaired after a covered physical damage loss.

- **Gap Coverage** — covers the difference between the vehicle's ACV and the remaining loan/lease balance.
- **Custom Parts/Equipment Coverage** — extends coverage to aftermarket modifications beyond the policy's standard sublimit.

Chapter 6: Other Personal Lines Coverages

6.1 National Flood Insurance Program (NFIP)

Created by Congress in 1968, the NFIP makes flood insurance available in participating communities that agree to adopt and enforce floodplain management regulations. Key points:

- Flood is defined broadly as a general and temporary condition of partial or complete inundation of normally dry land from surface water sources (overflow of inland/tidal waters, unusual rapid accumulation of runoff, mudflow, etc.) — it typically requires two or more acres or two or more properties to be affected.
- Coverage is available for the building (Coverage A) and contents (Coverage B) separately, each with its own limits.
- There is typically a **waiting period** (commonly 30 days) before an NFIP policy takes effect, except in connection with a loan closing.
- Private flood insurance is also increasingly available as an alternative to NFIP coverage.

6.2 Watercraft Coverage

Homeowners policies provide very limited liability coverage for small watercraft (e.g., low horsepower outboard motors, small sailboats) and generally exclude physical damage coverage for boats. Larger or faster boats require a separate **watercraft/boatowners policy**, which typically bundles physical damage (hull) coverage, liability, medical payments, and uninsured boater coverage.

6.3 Personal Umbrella / Excess Liability Policies

A **personal umbrella policy** provides:

1. Excess liability limits above the underlying homeowners, auto, and watercraft policies once those limits are exhausted.

2. Broader coverage for certain liability exposures not covered (or covered with lower limits) by underlying policies, subject to a self-insured retention (SIR) the insured must pay out of pocket when there is no applicable underlying policy.

Umbrella policies typically require the insured to maintain specified minimum underlying liability limits as a condition of coverage.

6.4 Mobile Homes and Manufactured Homes

Specialized mobile homeowners forms are used because manufactured/mobile homes have unique construction, transportability, and depreciation characteristics that don't fit standard homeowners underwriting.

6.5 Identity Theft and Cyber Endorsements

Many personal lines carriers now offer identity theft expense coverage and/or personal cyber protection endorsements, covering costs like lost wages from resolving identity theft, credit monitoring, and cyber extortion/liability for individuals.

Chapter 7: Commercial Property Insurance

7.1 The Commercial Package Policy (CPP) Concept

Commercial insureds often purchase a **Commercial Package Policy**, which bundles two or more coverage parts (property, general liability, crime, inland marine, etc.) under one policy, along with common policy conditions and declarations that apply across all coverage parts.

7.2 Building and Personal Property Coverage Form (BPP)

The BPP is the foundational commercial property form, covering:

- **Coverage A – Building**: the building structure, completed additions, fixtures, permanently installed machinery/equipment, and outdoor fixtures.
- **Coverage B – Business Personal Property**: furniture, fixtures, equipment, stock/inventory, and the insured's use interest in improvements and betterments made to a leased space.
- **Coverage C – Personal Property of Others** while in the insured's care, custody, or control, if the insured elects this coverage.

7.3 Causes of Loss Forms

The BPP is always combined with one of three "Causes of Loss" forms, which determine which perils are covered:

- **Basic Form** — covers a limited list of named perils (fire, lightning, explosion, windstorm/hail, smoke, aircraft/vehicles, riot/civil commotion, vandalism, sprinkler leakage, sinkhole collapse, volcanic action).
- **Broad Form** — adds additional perils to the basic list, such as falling objects, weight of ice/snow/sleet, and water damage from plumbing/appliance leaks; also adds collapse coverage.
- **Special Form** — open-peril coverage (all risks except those specifically excluded), the broadest and most commonly purchased option for commercial property.

7.4 Business Income and Extra Expense Coverage

- **Business Income Coverage** replaces lost net income and continuing normal operating expenses (like payroll for key employees) while a covered property is being repaired or rebuilt after a direct physical loss from a covered peril, subject to a **period of restoration**.
- **Extra Expense Coverage** pays for the necessary additional costs incurred to continue operations during the restoration period (e.g., renting temporary space) that go beyond normal operating expenses.

- **Contingent Business Income** extends coverage to income losses resulting from damage to the property of a key supplier or customer, rather than the insured's own property.
- Both business income coverages are typically subject to a **waiting period** before benefits begin (unlike a deductible, this is a time-based trigger).

7.5 Additional Commercial Property Coverages and Forms

- **Builders Risk Coverage** — covers a structure while under construction.
- **Equipment Breakdown (Boiler & Machinery) Coverage** — covers sudden and accidental breakdown of boilers, machinery, and electrical equipment, generally excluded under standard property forms.
- **Inland Marine Coverage** — covers property that is mobile or in transit (contractor's equipment, cargo, goods in transit, and certain "instrumentalities of transportation and communication"). It often uses specialized forms tailored to particular classes of movable property.
- **Ordinance or Law Coverage** — pays for the increased cost to rebuild in compliance with current building codes after a covered loss, including demolition costs and loss of undamaged portions of a building that must be torn down to comply with code.

7.6 Commercial Property Conditions

Similar to personal lines property forms, commercial property policies contain conditions addressing duties after loss, appraisal, coinsurance, valuation, and vacancy — with coinsurance percentages and provisions often more heavily negotiated for large commercial accounts.

Chapter 8: Commercial General Liability (CGL) Insurance

8.1 Purpose and Structure

The Commercial General Liability (CGL) policy protects businesses against claims of bodily injury, property damage, personal and advertising injury arising from business operations, products, completed work, and the premises. The standard ISO CGL form is divided into several coverage parts:

- **Coverage A – Bodily Injury and Property Damage Liability**
- **Coverage B – Personal and Advertising Injury Liability** (covers offenses like false arrest, malicious prosecution, wrongful eviction, libel, slander, and copyright/trademark infringement in advertising)
- **Coverage C – Medical Payments** (no-fault medical coverage for injuries on the premises or from operations, regardless of liability)

8.2 Occurrence vs. Claims-Made Forms

- **Occurrence form**: covers bodily injury/property damage that occurs during the policy period, regardless of when the claim is actually filed, even years later — as long as coverage was in force when the injury/damage occurred.
- **Claims-made form**: covers claims that are first made against the insured during the policy period (or an applicable extended reporting period), provided the injury occurred on or after the **retroactive date** specified in the policy. Claims-made policies often require the purchase of "tail coverage" (an extended reporting period endorsement) if the policy is canceled or not renewed, to protect against claims made after the policy ends for incidents that occurred while it was in force.

8.3 Key CGL Exclusions

- **Expected or intended injury** (from the insured's standpoint).
- **Contractual liability** (liability assumed under a contract) — though liability assumed under an "insured contract" (such as certain lease or construction agreements) is often carved back into coverage.
- **Liquor liability** — for businesses in the business of manufacturing, distributing, or selling alcoholic beverages (a separate liquor liability policy or endorsement is needed).
- **Workers' compensation and employer's liability** — employee injuries are excluded from CGL and covered instead under a workers compensation policy.

- **Auto, aircraft, and watercraft liability** — excluded from CGL and covered by separate policies (with limited exceptions, such as parking).
- **Pollution** (with some coverage carve-backs for specific scenarios like "hostile fire").
- **Damage to the insured's own product or work** — a CGL is not a performance bond or warranty; it does not cover the cost to repair/replace the insured's own faulty work or product, only resulting third-party injury or damage.

8.4 Limits of Insurance

CGL policies use several distinct limits:

- **Each Occurrence Limit** — the most payable for any one occurrence.
- **General Aggregate Limit** — the most payable in total during the policy period for most coverages combined (often subject to a per-location or per-project aggregate for certain insureds).
- **Products-Completed Operations Aggregate** — a separate aggregate limit for claims arising from the insured's completed work or products.
- **Personal and Advertising Injury Limit**.
- **Damage to Premises Rented to You Limit** ("fire legal liability") — covers damage the insured tenant causes to a rented premises via fire (or other specified causes, depending on the form) — a limited exception to the "damage to property in your care" exclusion.
- **Medical Expense Limit** — per person.

8.5 Additional Insureds and Certificates of Insurance

Businesses frequently add other parties as **additional insureds** to their CGL policy — commonly landlords, general contractors adding subcontractors, or clients requiring proof of coverage — typically via endorsement, to extend liability protection related to the named insured's operations. A **Certificate of Insurance (COI)** is a document summarizing an insured's coverage, often requested by third parties as evidence of insurance, but a COI itself does not amend or grant coverage — only the actual policy and endorsements do.

Chapter 9: Commercial Auto Insurance

9.1 Business Auto Coverage Form (BACF)

The Business Auto Coverage Form insures vehicles owned, leased, hired, or borrowed by a business, using **symbols** to define which autos are covered for each coverage:

Symbol	Covered Autos
1	Any Auto
2	Owned Autos Only
7	Specifically Described Autos
8	Hired Autos Only
9	Non-Owned Autos Only

An insured selects the appropriate symbol(s) for each coverage (liability, physical damage, etc.) based on its fleet and exposures.

9.2 Coverages

Similar to the personal auto policy, the BACF provides liability coverage, physical damage coverage (collision and other-than-collision), and can include uninsured/underinsured motorist coverage and medical payments/PIP where applicable by state. Physical damage coverage may also include **towing** and **loss of use (rental reimbursement)** coverage by endorsement.

9.3 Who Is an Insured

Typically includes the named insured, anyone using a covered "owned" auto with permission, and — for liability coverage on hired/non-owned autos — the business itself and its employees while using such vehicles for business purposes (a "hired and non-owned auto" or "HNOA" exposure common for businesses whose employees use personal vehicles for work).

9.4 Motor Truck Cargo and Trucker's Coverage Forms

Businesses that transport goods for others (common/contract carriers) need specialized forms:

- **Motor Truck Cargo Coverage** — covers damage to cargo being transported.
- **Truckers Coverage Form** — a specialized liability/physical damage form addressing the unique exposures of for-hire trucking operations, including coverage triggers tied to the trip lease/interchange agreements common in trucking.

Chapter 10: Workers Compensation and Employers Liability

10.1 Purpose of Workers Compensation

Workers compensation is a **no-fault statutory system** requiring employers to provide benefits to employees who suffer job-related injuries, illnesses, or death, regardless of who was at fault. In exchange, employees generally give up the right to sue their employer for these injuries (the "compensability bargain" or "exclusive remedy" doctrine), except in cases of intentional harm by the employer.

10.2 Benefits Provided

- **Medical benefits** — payment for necessary medical treatment related to the injury, generally without dollar limits or deductibles.
- **Disability income benefits**, categorized as:
- **Temporary total disability (TTD)** — the employee cannot work at all for a limited, healing period.
- **Temporary partial disability (TPD)** — the employee can work in a limited capacity temporarily.
- **Permanent total disability (PTD)** — the employee can never return to any gainful work.
- **Permanent partial disability (PPD)** — the employee suffers a permanent but partial impairment (e.g., loss of use of a limb), often paid according to a statutory schedule.
- **Rehabilitation benefits** — medical and vocational rehabilitation to help the employee recover and return to work.
- **Death benefits** — payments to dependents/survivors, plus burial expense allowance.

10.3 Part One — Workers Compensation

Under the standard Workers Compensation and Employers Liability Policy, **Part One** provides workers compensation benefits exactly as required by the applicable state's workers compensation statute (an "unlimited" obligation — the insurer promises to pay whatever benefits the law requires, with no stated policy limit).

10.4 Part Two — Employers Liability

Part Two covers the employer's common-law liability to employees for job-related injuries in situations not covered by the workers compensation statute itself, such as:

- **Third-party-over actions** — when an injured employee sues a third party (e.g., an equipment manufacturer), and that third party in turn sues the employer for contribution.

- Claims by an employee's family member for loss of consortium.
- Claims alleging dual capacity or exposure in states/situations where the exclusive remedy doctrine doesn't squarely apply.

Employers Liability includes three key limits: **bodily injury by accident** (per accident), **bodily injury by disease** (per employee), and **bodily injury by disease** (policy aggregate).

10.5 Monopolistic vs. Competitive State Funds

Most states allow employers to purchase workers compensation coverage from private insurers ("competitive state" systems), sometimes alongside a **competitive state fund** that also sells coverage. A small number of "monopolistic" states require employers to purchase coverage only through the state fund (though large qualifying employers may be permitted to self-insure).

10.6 Other Employer Coverage Options

- **Self-insurance** — larger employers may qualify to self-insure their workers compensation obligations, often required to post security/bonds.
- **Assigned Risk Plans** — a residual market mechanism ensuring that employers who cannot obtain coverage voluntarily (due to poor loss history or hazardous operations) can still obtain required coverage.
- **United States Longshore and Harbor Workers' Compensation Act (USL&H;)** and the **Federal Employers Liability Act (FELA)** are examples of specialized federal schemes covering certain maritime and railroad workers instead of (or supplementing) state workers compensation law.

Chapter 11: Bonds and Crime Insurance

11.1 Suretyship Basics

A **surety bond** is a three-party agreement:

1. Principal — the party who must perform an obligation (and who purchases/is bonded).

2. Obligee — the party who is protected by the bond and to whom the obligation is owed.

3. Surety — the party (often an insurance company) that guarantees the principal's performance to the obligee.

Unlike insurance, a surety bond is **not designed to spread risk** the way insurance does. If the surety pays a claim because the principal failed to perform, the surety has a legal right to seek full reimbursement (**indemnification**) from the principal — the expectation is that the principal, not the surety, ultimately bears the loss.

11.2 Common Types of Bonds

- **Contract (construction) bonds** — guarantee a contractor's performance and payment obligations on a construction project, including **bid bonds**, **performance bonds**, and **payment bonds**.
- **License and permit bonds** — required by law before an individual or business can obtain a professional license or engage in certain regulated activities.
- **Fidelity bonds** — technically a form of crime/insurance protection for the obligee (employer) against employee dishonesty, rather than a true three-party surety bond, since the "bond" protects the party purchasing it rather than guaranteeing performance to a third party.
- **Judicial and court bonds** — required in connection with certain legal proceedings (e.g., appeal bonds, fiduciary bonds for executors/guardians).

11.3 Crime Insurance

Commercial crime coverage protects businesses against loss from dishonest or criminal acts, including:

- **Employee theft**.
- **Forgery or alteration** of financial instruments.
- **Robbery and burglary** of money, securities, or other property.
- **Computer fraud and funds transfer fraud** — increasingly important with the rise of cyber-enabled financial crime.
- **Money and securities coverage** — for loss both inside and outside the insured's premises.

Chapter 12: Commercial Umbrella and Excess Liability

12.1 Purpose

Similar in concept to the personal umbrella, a **commercial umbrella policy** provides additional liability limits above the underlying CGL, commercial auto, and employers liability policies, and can broaden coverage for exposures not addressed (or addressed with lower limits) by the underlying policies.

12.2 Key Features

- **Following form** — an umbrella that mirrors the terms of the underlying policy for claims within the underlying limits, simply providing additional limits once those are exhausted.
- **Drop-down coverage** — when the umbrella covers a loss not covered (or covered with a lower limit) by any underlying policy, it "drops down" to respond as if it were primary, usually subject to a **self-insured retention (SIR)**.
- **Maintenance of underlying insurance** — the policyholder must maintain the agreed-upon underlying limits throughout the umbrella policy period; if underlying coverage is reduced or canceled, the umbrella insurer's obligations may be affected.
- **True excess liability policy** — unlike an umbrella, a straight excess policy only provides additional limits above existing underlying coverage on the exact same terms — it does not broaden coverage or drop down for gaps.

Chapter 13: Underwriting and Rating

13.1 The Underwriting Process

Underwriting is the process an insurer uses to evaluate, select, classify, and price risks. Underwriters review information from:

- The insurance **application**.
- **Loss history/claims reports** (such as the CLUE report for auto/property).
- **Inspection reports** (physical inspections of property or risk surveys).
- **Motor vehicle records (MVR)** for auto risks.
- **Credit-based insurance scores**, where permitted by state law.

Underwriting decisions include: accepting the risk as submitted, accepting with modified terms (higher deductible, exclusions, added conditions), or declining the risk.

13.2 Adverse Selection

Adverse selection is the tendency of individuals with a higher-than-average chance of loss to seek insurance more often, or in larger amounts, than individuals with lower risk. Sound underwriting practices are designed to counteract adverse selection by properly classifying and pricing risks so that the insurer's pool isn't disproportionately made up of poor risks.

13.3 Rating Concepts

- **Class rating (manual rating)** — risks with similar characteristics are grouped into rating classes, and a standard rate applies to all members of the class.
- **Judgment rating** — used for unique or unusual risks that don't fit standard classifications, relying on the underwriter's judgment.
- **Merit rating** — modifies a class rate up or down based on an individual insured's own characteristics or loss experience (e.g., a safe driver discount).
- **Experience rating** — adjusts the premium based on an individual insured's actual past loss experience compared to the expected/average losses for its class, common in larger commercial accounts (e.g., workers compensation experience modification factors).
- **Retrospective rating** — the final premium for the current policy period is adjusted after the period ends, based on the insured's actual incurred losses during that same period (subject to minimum and maximum premium limits).

13.4 Reinsurance

Reinsurance is insurance purchased by an insurance company (the "ceding company") from another insurer (the "reinsurer") to share risk. Purposes of reinsurance include increasing underwriting capacity, stabilizing loss experience, providing catastrophe protection, and allowing an insurer to exit certain lines of business. Common forms include **treaty reinsurance** (an ongoing agreement automatically covering a defined block of business) and **facultative reinsurance** (negotiated separately for each individual risk).

Chapter 14: Claims Handling

14.1 The Claims Process

1. First notice of loss (FNOL) — the insured or claimant reports the loss to the insurer or producer.

2. Investigation — the claims adjuster gathers facts, reviews the policy for coverage, and may inspect damage, take statements, and review police/incident reports.

3. Evaluation — the adjuster determines whether the loss is covered, and if so, the amount owed.

4. Payment or denial — the insurer pays the claim, offers a settlement, or issues a reservation of rights or denial letter if coverage is unclear or does not apply.

14.2 Types of Adjusters

- **Company (staff) adjuster** — a direct employee of the insurance company.
- **Independent adjuster** — a contracted third party who adjusts claims on behalf of one or more insurers, often used to handle overflow or claims requiring specialized expertise.
- **Public adjuster** — hired by (and represents) the policyholder/claimant, rather than the insurer, typically compensated by a percentage of the claim settlement.

14.3 Reservation of Rights and Denial

A **reservation of rights letter** is sent when an insurer begins investigating or defending a claim while reserving the right to later deny coverage if it determines the loss isn't covered — this protects the insurer from waiving its right to contest coverage later. A denial must generally be based on a specific policy provision or exclusion and communicated to the insured in writing.

14.4 Bad Faith

An insurer that unreasonably delays, underpays, or denies a valid claim, or fails to conduct a fair investigation, may be exposed to a **bad faith** claim, which can result in damages beyond the original policy limits (including, in some states, punitive damages). This is why unfair claims settlement practices are heavily regulated at the state level (see Chapter 2).

Chapter 15: Policy Structure, Provisions, and Contract Law Concepts

15.1 Parts of an Insurance Policy

Most P&C; policies are organized into these common parts:

1. Declarations page — identifies the named insured, policy period, described property/autos, coverages and limits selected, premium, and forms attached.

2. Definitions — key terms used throughout the policy (often "you," "we," "insured," "occurrence," etc.), usually bolded or quoted when they appear in the text.

3. Insuring agreement — the insurer's basic promise describing what is covered.

4. Exclusions — losses, causes, or types of property/liability specifically not covered.

5. Conditions — duties and rules both parties must follow for coverage to apply (e.g., duties after loss, cancellation provisions, subrogation, other insurance).

6. Endorsements/riders — modifications that add, remove, or change coverage from the base policy form; endorsements always take precedence over conflicting provisions in the base form.

15.2 Cancellation and Nonrenewal

- **Cancellation** — termination of a policy before its normal expiration date, which can be initiated by the insurer (for reasons like nonpayment of premium, fraud, or material misrepresentation, subject to state-mandated notice periods) or by the insured (at any time).
- **Nonrenewal** — the insurer chooses not to renew a policy at the end of its term; most states require advance written notice of nonrenewal (commonly 30–60 days).
- **Flat cancellation** — cancellation effective from the policy's original inception date, as if it never existed, typically only allowed within a short window and when no claims have occurred.
- Many states impose stricter cancellation rules once a policy has been in force beyond a certain period (e.g., 60 days), limiting cancellation to a narrower list of permissible reasons (such as nonpayment, license revocation, or material misrepresentation) to protect consumers from arbitrary midterm cancellation.

15.3 Endorsements vs. Riders vs. Forms

While terminology varies, in P&C; insurance an **endorsement** is generally the standard term for a document that modifies the base policy. Endorsements can broaden coverage, restrict coverage, add insureds, adjust limits, or correct errors, and are attached to and made part of the policy.

15.4 Binders

A **binder** is a temporary agreement that provides immediate insurance coverage until a formal policy can be issued. Binders are commonly used in property and auto insurance to provide instant proof of coverage (e.g., when closing on a home purchase or driving a newly purchased car off a lot), and are typically limited to a short duration (commonly 30–90 days).

15.5 Warranties, Representations, and Concealment (Contract Law Review)

As discussed in Chapter 1, courts generally hold applicants to a standard of good faith **representation** rather than strict **warranty** in most P&C; contracts — meaning a statement need only be substantially true, and only *material* misrepresentations (ones that would have affected the insurer's decision to issue the policy or the terms offered) can void coverage or support rescission.

15.6 Concurrent Causation and Anti-Concurrent Causation Clauses

When a loss results from a combination of a covered cause and an excluded cause acting together or in sequence, courts have historically applied different rules depending on the jurisdiction. Many modern property forms include an **anti-concurrent causation clause**, stating that if an excluded peril (such as flood or earth movement) contributes to a loss in any sequence with a covered peril, the entire loss is excluded — designed to prevent creative arguments that a covered peril was the "proximate cause."

Chapter 16: Ethics and Professional Responsibilities of Producers

16.1 The Producer's Duties

Licensed producers owe duties to multiple parties, and understanding these relationships is critical:

- **To the insurer** (when acting as an agent): a fiduciary duty to handle premium funds properly, submit accurate applications, and represent the insurer's products honestly.
- **To the client/applicant**: a duty of honesty, competence, and (in most states) a duty to make reasonable recommendations based on information disclosed, though producers are generally not held to the same fiduciary standard as brokers unless a special relationship of trust is established.
- **To the public and the regulatory system**: compliance with all applicable insurance laws and regulations.

16.2 Handling of Premium Funds

Producers who collect premiums typically must hold them in a separate **fiduciary/trust account**, distinct from personal or general operating funds, and remit them to the insurer according to their agency agreement. Commingling client premium funds with personal funds, or using premium funds for purposes other than remitting to the insurer, can constitute **theft by conversion** and grounds for license revocation, fines, or criminal prosecution.

16.3 Errors and Omissions (E&O;)

Producers can be held liable for their own mistakes — such as failing to procure requested coverage, providing incorrect advice, or failing to timely process a policy change — through **Errors and Omissions (E&O;) liability**. Most producers carry their own **E&O; insurance** to protect against such claims, since a CGL policy does not typically cover a producer's professional liability for giving incorrect insurance advice.

16.4 Suitability and Full Disclosure

Ethical practice requires producers to:

- Ask enough questions to reasonably understand a client's needs and exposures.
- Disclose material policy terms, exclusions, and limitations that a reasonable person would want to know before purchasing.
- Avoid **churning** or unnecessary replacement of existing policies that primarily benefits the producer through additional commission rather than the client.

- Avoid conflicts of interest, and disclose them when they cannot be avoided (e.g., compensation structures that could bias a recommendation).

16.5 Consequences of Ethical/Legal Violations

Depending on severity, violations of the state insurance code or ethical standards can result in a range of consequences: a formal warning or reprimand, fines, mandatory additional continuing education, license suspension, license revocation, and in cases involving fraud or theft, criminal prosecution.

Chapter 17: Glossary of Key Terms

Actual Cash Value (ACV) — Replacement cost minus depreciation; a common method of valuing a covered property loss.

Additional Insured — A person or entity, other than the named insured, who is granted some of the benefits of a policy, usually by endorsement.

Adhesion (Contract of) — A contract prepared by one party (the insurer) and accepted or rejected as a whole by the other (the insured); ambiguities are construed against the drafter.

Adverse Selection — The tendency of higher-risk individuals to seek insurance more often or in greater amounts than lower-risk individuals.

Aleatory Contract — A contract in which the values exchanged by the parties are unequal and depend on an uncertain, future event.

Appraisal — A policy condition allowing either party to demand an independent determination of the amount of a loss when the parties disagree on value (but not on coverage).

Binder — Temporary evidence of insurance coverage pending issuance of the actual policy.

Broker — A producer who, in placing insurance, legally represents the applicant/insured rather than the insurer.

Coinsurance — A property insurance clause requiring the insured to carry limits equal to a specified percentage of the property's value or share proportionately in a loss.

Combined Single Limit (CSL) — A single liability limit that applies to both bodily injury and property damage combined, rather than separate per-person/per-accident limits.

Concealment — The intentional failure to disclose a known, material fact to an insurer.

Consideration — Something of value exchanged between parties to a contract; in insurance, the premium and application statements (insured) and the promise to pay covered losses (insurer).

Declarations — The section of a policy containing identifying information: named insured, policy period, description of insured property/vehicles, coverage limits, and premium.

Deductible — The amount of a covered loss the insured must pay before the insurer's payment obligation begins.

Endorsement — A document that amends, adds to, or otherwise modifies the original insurance policy.

Exclusion — A provision that eliminates coverage for specified perils, property, causes of loss, or types of liability.

Fiduciary — A person or entity entrusted with handling money or property for another, held to a high standard of trust and care (e.g., a producer holding premium funds).

Hazard — A condition that increases the frequency or severity of a loss (physical, moral, morale, or legal).

Indemnity (Principle of) — Restoring an insured to the approximate financial position held before a loss, without profit.

Insurable Interest — A financial stake in the preservation of insured property (property insurance) or in avoiding a liability judgment; required at the time of loss for property, and generally presumed for liability.

Liability — Legal responsibility for injury or damage caused to another person or their property.

Named Insured — The person(s) or entity specifically identified on the declarations page as the party protected by the policy.

Occurrence — An accident, including continuous or repeated exposure to substantially the same general harmful conditions, often distinguished from an intentional act.

Peril — The cause of a loss (e.g., fire, windstorm, collision, theft).

Premium — The price paid by the insured in exchange for insurance protection.

Reinsurance — Insurance purchased by an insurance company from another insurer to share risk exposure.

Replacement Cost — The cost to repair or replace damaged property with new property of like kind and quality, without deduction for depreciation.

Rescission — The voiding of a contract from its inception, as if it never existed, typically due to fraud or material misrepresentation.

Rider — Another term (often used interchangeably with endorsement) for an attachment that modifies policy coverage.

Subrogation — The insurer's right, after paying a loss, to recover from a negligent third party responsible for the loss.

Surplus Lines — Insurance placed with a non-admitted insurer, typically for unusual or hard-to-place risks, through a specially licensed surplus lines broker.

Umbrella Policy — A policy providing excess liability limits over underlying policies, and potentially broader coverage, subject to a self-insured retention.

Underwriting — The process of evaluating, classifying, selecting, and pricing risks for insurance.

Unfair Discrimination — Charging different rates or providing different benefits to individuals in the same risk classification without an actuarially sound basis.

Utmost Good Faith — The heightened standard of honesty required of both parties to an insurance contract.

Valued Policy — A policy that pays a previously agreed-upon amount in the event of a total loss, regardless of the property's actual value at the time of loss (used in some states for certain fire losses to real property).

Waiver — The voluntary and intentional relinquishment of a known right.

Warranty — A statement guaranteed to be true, forming part of the insurance contract; breach can void coverage regardless of materiality.

Chapter 18: Practice Exam Questions

The following original practice questions are designed to test your understanding of the concepts covered in this guide. Answers and brief rationales appear at the end of the chapter. Cover the answer key and attempt all questions first for the best study effect.

1. Which of the following is an example of a pure risk?

A. Investing in the stock market

B. Betting on a football game

C. The possibility of a house fire

D. Opening a new business

2. A condition that increases the likelihood of a loss due to carelessness resulting from having insurance is known as:

A. A physical hazard

B. A moral hazard

C. A morale hazard

D. A legal hazard

3. Which risk management technique is being used when a company decides not to manufacture a dangerous chemical at all?

A. Risk retention

B. Risk transfer

C. Risk avoidance

D. Risk reduction

4. The statistical principle that allows insurers to predict losses for a large group with reasonable accuracy is called:

A. The principle of indemnity

B. The law of large numbers

C. Adverse selection

D. Coinsurance

5. For a property insurance claim to be paid, insurable interest must exist:

A. At the time the policy is issued

B. At the time of loss

C. At the time the premium is paid

D. At any time during the policy period

6. An insurer's right to recover claim payments from a negligent third party is known as:

A. Indemnity

B. Subrogation

C. Contribution

D. Reinsurance

7. Which characteristic of an insurance contract means that only the insurer makes a legally enforceable promise?

A. Aleatory

B. Adhesion

C. Unilateral

D. Conditional

8. Because insurance policies are prepared entirely by the insurer, any ambiguity in the contract is generally interpreted:

A. In favor of the insurer

B. In favor of the insured

C. By a jury only

D. According to industry custom, regardless of wording

9. The federal law affirming that insurance regulation is primarily a state function is the:

A. Fair Credit Reporting Act

B. McCarran-Ferguson Act

C. Gramm-Leach-Bliley Act

D. Sherman Antitrust Act

10. An insurer organized under the laws of a country outside the United States is classified, from a U.S. state's perspective, as a(n):

A. Domestic insurer

B. Foreign insurer

C. Alien insurer

D. Admitted insurer

11. Inducing a customer to lapse an existing policy to purchase a new one, to the client's detriment, is known as:

A. Rebating

B. Twisting

C. Coercion

D. Boycotting

12. Under a "file-and-use" rate regulation system:

A. Rates must be approved before use

B. Rates may be used immediately upon filing, subject to later disapproval

C. Rates never need to be filed

D. Rates are set entirely by the state insurance department

13. Which of the following best describes a named-peril policy?

A. It covers any cause of loss except those specifically excluded

B. It covers only the perils specifically listed in the policy

C. It never has any exclusions

D. It only applies to commercial property

14. A building valued at $600,000 is insured for $360,000 under an 80% coinsurance clause. A $120,000 covered loss occurs. How much will the insurer pay (before any deductible)?

A. $120,000

B. $90,000

C. $75,000

D. $60,000

15. A deductible that decreases as the size of the loss increases, eventually disappearing entirely, is called a:

A. Straight deductible

B. Percentage deductible

C. Disappearing deductible

D. Aggregate deductible

16. Which homeowners form is most commonly used for an owner-occupied single-family home, providing open-peril coverage on the dwelling and named-peril coverage on personal property?

A. HO-2

B. HO-3

C. HO-4

D. HO-6

17. Under a homeowners policy, Coverage D provides:

A. Personal liability coverage

B. Medical payments to others

C. Loss of use / additional living expenses

D. Coverage for other structures

18. Which of the following is NOT covered under a standard homeowners policy and requires a separate policy or endorsement?

A. Fire damage to the dwelling

B. Theft of personal property

C. Flood damage

D. Liability for a dog bite

19. Which Part of the Personal Auto Policy provides coverage when the insured is struck by a driver who carries no liability insurance?

A. Part A

B. Part B

C. Part C

D. Part D

20. Comprehensive (Other-Than-Collision) coverage under Part D of the PAP would cover which of the following?

A. Damage from hitting a parked car

B. Damage from a collision with another vehicle while making a left turn

C. Damage caused by a fallen tree branch

D. Bodily injury to a pedestrian

21. A no-fault auto insurance system is designed primarily to:

A. Eliminate the need for liability insurance altogether

B. Pay for the insured's own economic losses regardless of fault, and limit lawsuits for smaller injuries

C. Require the at-fault driver's insurer to always pay first

D. Apply only to commercial vehicles

22. The waiting period before a newly purchased NFIP flood policy typically takes effect is:

A. Immediately upon binding

B. 10 days

C. 30 days

D. 90 days

23. A personal umbrella policy provides coverage:

A. Only for losses covered by the underlying policy

B. In excess of underlying policy limits, and potentially for gaps not covered by underlying policies, subject to a retention

C. As primary coverage in all circumstances

D. Only for property damage, never liability

24. Under the Building and Personal Property Coverage Form, machinery permanently attached to a covered building would be insured under:

A. Coverage A – Building

B. Coverage B – Business Personal Property

C. Coverage C – Personal Property of Others

D. It is never covered

25. Which Causes of Loss form used with the BPP provides open-peril (all-risk) coverage?

A. Basic Form

B. Broad Form

C. Special Form

D. Named Form

26. Business Income coverage is designed to:

A. Pay for direct physical damage to a building

B. Replace lost net income and continuing expenses during a covered restoration period

C. Cover employee dishonesty

D. Cover a business's products liability exposure

27. Under a CGL policy, which of the following would typically be covered under Coverage B rather than Coverage A?

A. Bodily injury from a slip and fall

B. Property damage from a fire

C. Libel arising from an advertisement

D. Damage to the insured's own product

28. A claims-made CGL policy covers claims that are:

A. First made during the policy period (or extended reporting period), for injury occurring on or after the retroactive date

B. Made at any time, regardless of when the injury occurred

C. Only for injuries occurring during the policy period, regardless of when reported

D. Never subject to a retroactive date

29. The CGL "Damage to Premises Rented to You" limit most commonly applies to:

A. Damage the named insured tenant causes to a rented premises by fire

B. Damage to a neighboring building

C. Damage to the insured's own owned building

D. Employee injuries at a rented premises

30. Under the Business Auto Coverage Form, Symbol 1 means:

A. Owned autos only

B. Any auto

C. Hired autos only

D. Non-owned autos only

31. The exclusive remedy doctrine in workers compensation means that, in exchange for guaranteed no-fault benefits, an injured employee generally:

A. Gives up the right to sue their employer for the work-related injury

B. Must sue their employer in civil court

C. Loses the right to any medical benefits

D. Can choose to receive either workers comp benefits or sue, but not both, on a case-by-case basis

32. Under a workers compensation policy, an employee who can work but only in a limited capacity during recovery would typically receive:

A. Permanent total disability benefits

B. Temporary partial disability benefits

C. Permanent partial disability benefits

D. Death benefits

33. Employers Liability coverage (Part Two of the WC/EL policy) is most likely to respond to:

A. A routine workers compensation medical claim

B. A third-party-over lawsuit against the employer

C. An employee's claim for unemployment benefits

D. A dispute over workers compensation premium calculation

34. In a suretyship arrangement, the party who is protected by the bond is the:

A. Principal

B. Obligee

C. Surety

D. Indemnitor

35. A performance bond on a construction project is an example of a:

A. Fidelity bond

B. License and permit bond

C. Contract bond

D. Judicial bond

36. Which of the following best describes "drop-down" coverage under a commercial umbrella policy?

A. The umbrella pays only after all underlying limits are exhausted, with identical terms

B. The umbrella responds as primary coverage for a loss not covered by any underlying policy, subject to a retention

C. The umbrella cancels automatically if underlying coverage lapses

D. The umbrella only applies to auto losses

37. The tendency of higher-risk individuals to seek insurance more often, or in larger amounts, than lower-risk individuals is called:

A. Underwriting

B. Adverse selection

C. Reinsurance

D. Retrospective rating

38. A rating method where the final premium is adjusted after the policy period based on the insured's actual incurred losses during that period is called:

A. Class rating

B. Judgment rating

C. Retrospective rating

D. Manual rating

39. Reinsurance purchased for a single, specifically negotiated risk (rather than an entire class of business) is called:

A. Treaty reinsurance

B. Facultative reinsurance

C. Retrocession

D. Fronting

40. A letter sent by an insurer stating it will investigate/defend a claim while reserving the right to later deny coverage is called a:

A. Denial letter

B. Proof of loss

C. Reservation of rights letter

D. Nonrenewal notice

41. An insurer that unreasonably delays or denies a valid claim may be exposed to a claim for:

A. Subrogation

B. Bad faith

C. Coinsurance penalty

D. Adverse selection

42. The part of an insurance policy that identifies the named insured, policy period, and premium is the:

A. Insuring agreement

B. Declarations

C. Conditions

D. Definitions

43. A document providing immediate, temporary evidence of coverage before a formal policy is issued is called a:

A. Endorsement

B. Rider

C. Binder

D. Certificate of insurance

44. A statement guaranteed to be exactly true, and whose breach can void coverage regardless of materiality, is called a:

A. Representation

B. Warranty

C. Concealment

D. Waiver

45. A clause stating that if an excluded peril contributes to a loss in any sequence with a covered peril, the entire loss is excluded, is known as a(n):

A. Coinsurance clause

B. Anti-concurrent causation clause

C. Subrogation clause

D. Appraisal clause

46. A producer who fails to procure coverage that a client specifically and clearly requested may be exposed to a claim under:

A. The client's homeowners policy

B. The producer's Errors and Omissions coverage

C. The insurer's CGL policy

D. The state guaranty fund

47. Commingling client premium funds with a producer's personal operating funds is best described as:

A. A standard and acceptable industry practice

B. A potential violation constituting theft by conversion

C. Required by most state insurance codes

D. Only a concern for surplus lines brokers

48. Replacing a client's existing policy primarily to generate additional commission, without a genuine benefit to the client, is known as:

A. Twisting/churning

B. Subrogation

C. Reinsurance

D. Coinsurance

49. A non-admitted insurer is generally:

A. Backed by the state guaranty association just like admitted insurers

B. Not licensed in the state and not backed by the state guaranty association

C. Prohibited from writing any business in the United States

D. Always a monopolistic state fund

50. Which of the following would most likely require a Commercial General Liability "additional insured" endorsement?

A. A landlord requiring a tenant's contractor to add the landlord to the contractor's CGL policy

B. An individual adding a new car to their personal auto policy

C. A homeowner adding scheduled jewelry coverage

D. An employer adding workers compensation coverage

Answer Key and Rationale

#	Answer	Rationale
1	C	Pure risk involves only loss or no loss with no chance of gain; the others involve possible gain (speculative risk).
2	C	Morale hazard is carelessness/indifference arising because the insured knows insurance will pay.
3	C	Avoidance eliminates the exposure entirely by not engaging in the activity.
4	B	The law of large numbers lets insurers predict aggregate losses for large groups.
5	B	Property insurable interest must exist at the time of loss.
6	B	Subrogation is the insurer's right to recover from a negligent third party after paying a claim.
7	C	Unilateral means only the insurer makes an enforceable promise to pay covered claims.
8	B	As a contract of adhesion, ambiguity is construed against the drafter (the insurer) and in favor of the insured.
9	B	The McCarran-Ferguson Act of 1945 affirmed state regulation of insurance.
10	C	An insurer organized outside the U.S. is an alien insurer from any U.S. state's perspective.
11	B	Twisting involves inducing a policy lapse/replacement to the client's detriment.
12	B	File-and-use allows immediate use of filed rates, subject to later disapproval.
13	B	Named-peril policies only cover perils specifically listed.
14	B	Required insurance = 80% × $600,000 = $480,000. Payment = ($360,000 ÷ $480,000) × $120,000 = $90,000.
15	C	A disappearing deductible shrinks to zero as losses grow larger.
16	B	HO-3 (Special Form) is the most common owner-occupied form: open peril on dwelling, named peril on contents
17	C	Coverage D is Loss of Use (additional living expense/fair rental value).
18	C	Flood is excluded from all standard homeowners forms and requires separate flood coverage.
19	C	Part C (Uninsured/Underinsured Motorists) responds when the at-fault driver has no/insufficient liability coverage
20	C	Falling objects (like tree branches) are an other-than-collision/comprehensive peril, not a collision.
21	B	No-fault systems pay each driver's own economic losses regardless of fault and limit lawsuits below a threshold.
22	C	NFIP policies typically have a 30-day waiting period before taking effect (with limited exceptions).
23	B	Umbrella policies provide excess limits and can broaden coverage for gaps, subject to a self-insured retention.
24	A	Permanently attached machinery/equipment is part of the covered Building (Coverage A).
25	C	The Special Form provides open-peril (all-risk) coverage under the BPP.
26	B	Business Income coverage replaces lost net income and continuing expenses during restoration.
27	C	Personal and Advertising Injury (Coverage B) covers offenses like libel/slander in advertising.
28	A	Claims-made forms cover claims first made during the policy period (or ERP) for injury on/after the retro date.
29	A	This limit typically applies to fire damage a tenant causes to a rented premises (fire legal liability).
30	B	Symbol 1 designates "Any Auto" under the Business Auto Coverage Form.

#	Answer	Rationale
31	A	Exclusive remedy means the employee gives up the right to sue the employer for the work injury in exchange for
32	B	Temporary partial disability applies when an employee can work in a limited capacity during recovery.
33	B	Employers Liability responds to gaps like third-party-over actions, not routine WC medical claims.
34	B	The obligee is the party protected by/benefiting from the bond.
35	C	Performance bonds are a type of contract (construction) bond.
36	B	Drop-down coverage means the umbrella responds as primary for uncovered gaps, subject to a retention.
37	B	Adverse selection describes higher-risk individuals disproportionately seeking insurance.
38	C	Retrospective rating adjusts final premium based on actual losses during the same period just ended.
39	B	Facultative reinsurance is negotiated for a single specific risk.
40	C	A reservation of rights letter preserves the insurer's right to deny coverage while investigating/defending.
41	B	Unreasonable claim handling can expose an insurer to a bad faith claim.
42	B	The declarations page contains named insured, policy period, and premium information.
43	C	A binder provides temporary, immediate evidence of coverage.
44	B	A warranty must be exactly true; breach can void coverage regardless of materiality.
45	B	An anti-concurrent causation clause excludes the entire loss if an excluded peril contributes in any sequence.
46	B	Failure to procure requested coverage is a classic Errors and Omissions exposure for the producer.
47	B	Commingling premium funds with personal funds can constitute theft by conversion.
48	A	Twisting/churning describes unnecessary replacement primarily to generate commission.
49	B	Non-admitted insurers are not licensed in the state and are not backed by the state guaranty fund.
50	A	This is a classic scenario requiring a CGL additional insured endorsement to protect the landlord.

Final Study Tips

- Focus on understanding **why** a rule or provision exists, not just memorizing it — exam questions are often scenario-based rather than pure definition recall.
- Pay close attention to **numbers that matter**: percentages (coinsurance), limits (per-person/per-occurrence/aggregate), and time periods (notice requirements, waiting periods, reporting deadlines).
- When a question describes a scenario, first identify **which policy and which coverage part** is implicated before choosing an answer.
- Review your own state's specific licensing requirements and any state-specific insurance law modifications, since national manuals (including this one) describe general principles that your state may modify.
- This guide is a study aid; always consult your state's official candidate handbook and content outline provided by your testing vendor (e.g., Pearson VUE or PSI) to confirm the exact topics weighted on your specific state exam.

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Chapter 19: Businessowners Policy (BOP) and Small Commercial Package Concepts

19.1 What Is a BOP?

A **Businessowners Policy (BOP)** is a simplified package policy designed for small to mid-sized businesses with relatively uniform, lower-hazard exposures (such as retail stores, small offices, restaurants, and small apartment buildings). A BOP automatically bundles commercial property coverage and commercial general liability coverage into a single, pre-packaged form, often at a lower overall cost and with less individual underwriting than assembling the same coverages separately through a Commercial Package Policy.

19.2 Standard BOP Features

Most BOP forms automatically include, without need for separate purchase:

- Building and business personal property coverage (typically written on a special/open-peril basis).
- Business income and extra expense coverage, often without a specific coinsurance requirement or waiting period deductible, up to a stated number of days or a stated dollar limit.
- Commercial general liability coverage.
- Employee dishonesty coverage at a modest limit.
- Outdoor signs, money and securities, and equipment breakdown are commonly available as low-cost add-ons.

19.3 BOP Eligibility

Insurers publish eligibility guidelines limiting BOP issuance based on factors such as building size (often under a certain square footage), annual revenue, occupancy classification, and the presence of higher-hazard operations (such as manufacturing or habitational risks above a certain unit count). Businesses that don't qualify for a BOP — because they are larger, have unusual hazards, or need higher/more customized limits — typically use a full Commercial Package Policy assembled from individual coverage parts (as described in Chapter 7).

19.4 BOP vs. CPP: Key Distinctions

Feature	BOP	Commercial Package Policy (CPP)
Target market	Small, homogeneous, lower-hazard businesses	Any size business, including complex/large risks
Coverage parts	Pre-packaged property + liability	Each coverage part selected/underwritten individua
Underwriting	Simplified, often algorithmic	Individual underwriting judgment

Feature	BOP	Commercial Package Policy (CPP)
Flexibility	Limited customization	Highly customizable
Workers Compensation	Never included; always separate	Always separate

Chapter 20: Inland Marine, Ocean Marine, and Transportation-Related Coverages

20.1 The Nature Marine/Transportation Exposures

Marine insurance is one of the oldest forms of insurance, historically covering ships and cargo at sea (**ocean marine**). Over time, the concept expanded to cover mobile property and property in transit over land, air, and inland waterways (**inland marine**), as well as certain fixed property with a strong transportation/communication connection (the "nationwide marine definition").

20.2 Ocean Marine Coverage Components

- **Hull coverage** — physical damage to the vessel itself.
- **Cargo coverage** — goods being transported by sea.
- **Freight coverage** — protects the shipowner's income from freight charges if a voyage cannot be completed.
- **Protection and Indemnity (P&I;)** — liability coverage for shipowners, addressing exposures such as cargo damage claims, crew injury, and collision liability.
- **General average** — a unique ocean marine principle where, if cargo or part of the ship must be intentionally sacrificed to save the voyage (e.g., jettisoning cargo during a storm), all parties who benefited from the sacrifice (ship and cargo owners) share proportionately in the loss, even if their own property was undamaged.

20.3 Inland Marine Classes of Coverage

Inland marine coverage is typically grouped into:

- **Domestic goods in transit** — cargo, trucker's cargo policies.
- **Property held by bailees** — dry cleaners, warehouses, repair shops holding customer property.
- **Mobile equipment/instrumentalities of transportation** — contractor's equipment floaters, cameras, and other mobile business property.
- **Property of unique/high value nature** — fine art floaters, jeweler's block policies.
- **Communication and transportation-related fixed property** — bridges, tunnels, pipelines, and similar property with a transportation/communication nexus.

20.4 Floater Policies

A **floater** is a form of inland marine coverage that "floats" with mobile property regardless of its location, rather than being tied to a single described premises like standard property forms. Floaters are commonly used for musical instruments, cameras, jewelry, and contractor's tools/equipment.

Chapter 21: Farm and Agricultural Insurance

21.1 Farmowners-Ranchowners Policies

Similar in structure to a homeowners policy but adapted for agricultural operations, a **Farmowners-Ranchowners Policy** typically combines:

- Dwelling and personal property coverage (similar to homeowners Coverage A–D).
- Farm personal property coverage — livestock, farm machinery, harvested crops, and other business personal property used in the farming operation.
- Other farm structures coverage — barns, silos, and other outbuildings.
- Farm liability coverage — extending personal liability protection to cover farming operations, which are normally excluded as "business pursuits" under a standard homeowners policy.

21.2 Crop Insurance

Crop insurance protects farmers against loss of expected crop production, typically arising from named perils (hail, fire) or, in the case of federally supported multi-peril crop insurance (MPCI), from a broad range of natural causes (drought, flood, disease, insects) that reduce yield below a guaranteed level. Federal crop insurance in the U.S. is heavily subsidized and administered in partnership between the USDA's Risk Management Agency and private insurers.

21.3 Livestock Coverage

Specialized policies or endorsements cover the accidental death of livestock from specified causes, and in some cases mortality coverage similar in concept to life insurance for high-value breeding or show animals.

Chapter 22: Aviation Insurance Basics

22.1 Why Aviation Is Written Separately

Aviation exposures (hull damage, passenger/third-party liability, and products liability for aircraft manufacturers) are excluded from standard homeowners, auto, and CGL policies due to the unique catastrophic loss potential and specialized underwriting/risk assessment required. Aviation insurance is typically placed through specialty markets with underwriters experienced in aviation risk.

22.2 Key Aviation Coverage Components

- **Hull coverage** — physical damage to the aircraft, often split between "in motion" and "not in motion" coverage, sometimes with different deductibles for each.
- **Liability coverage** — bodily injury and property damage to third parties, and to passengers, often with separate sublimits per passenger seat.
- **Airport liability / products/completed operations** — for airport operators, aircraft manufacturers, and repair facilities.

Chapter 23: Professional Liability and Cyber Liability

23.1 Professional Liability (Errors & Omissions) for Various Professions

Beyond insurance producers (Chapter 16), many professions carry **professional liability (errors and omissions)** coverage protecting against claims of negligent acts, errors, or omissions in rendering professional services — examples include physicians (**medical malpractice**), attorneys (**lawyers' professional liability**), architects/engineers (**design professional liability**), and financial advisors. These policies are almost always written on a **claims-made basis** (see Chapter 8) because professional liability claims can surface long after the services were rendered.

23.2 Directors and Officers (D&O;) Liability

D&O; insurance protects the personal assets of a company's directors and officers against claims alleging wrongful acts in their corporate capacity (mismanagement, breach of fiduciary duty, misrepresentation to shareholders). D&O; policies are typically claims-made and often include distinct coverage sides: **Side A** (protects individual directors/officers directly when the company cannot indemnify them), **Side B** (reimburses the company for indemnifying its directors/officers), and **Side C** (entity coverage, protecting the company itself, often limited to securities claims).

23.3 Employment Practices Liability (EPLI)

EPLI covers claims by employees alleging wrongful employment practices such as discrimination, harassment, wrongful termination, and retaliation — exposures specifically excluded from a standard CGL policy.

23.4 Cyber Liability Insurance

Cyber liability policies respond to a growing category of exposures arising from data breaches and cyber incidents, typically including:

- **First-party costs** — expenses the insured business incurs directly, such as breach notification costs, credit monitoring for affected individuals, forensic investigation, public relations/crisis management, cyber extortion payments, and business interruption from a network outage.
- **Third-party liability** — claims by others (customers, business partners, regulators) alleging harm from the insured's failure to protect data, including regulatory fines and penalties where insurable by law.

Because cyber exposures evolve rapidly and are excluded (or only minimally addressed) under standard CGL and property forms, a standalone cyber policy or endorsement is typically necessary for meaningful protection.

Chapter 24: Worked Numerical Examples

Exam questions frequently test whether you can apply a formula correctly under time pressure. Work through each example below step by step before checking the solution.

24.1 Coinsurance Calculations

Example A: A commercial building has a replacement value of $1,000,000 and is subject to a 90% coinsurance requirement. The owner purchased $600,000 of coverage. A fire causes $200,000 of covered damage.

- Step 1: Required insurance = 90% × $1,000,000 = $900,000
- Step 2: Coinsurance fraction = Amount Carried ÷ Amount Required = $600,000 ÷ $900,000 = 0.667
- Step 3: Payment = 0.667 × $200,000 = $133,333 (before deductible)
- The insured absorbs the remaining $66,667 as a co-insurer, due to being underinsured relative to the 90% requirement.

Example B: Using an agreed value endorsement instead, with an agreed value of $900,000 and the same $600,000 of coverage purchased — wait, agreed value requires carrying the full agreed amount to avoid a coinsurance penalty; if only $600,000 is carried against a $900,000 agreed value, the same penalty calculation would generally apply, since the agreed value endorsement waives the *insurance-to-value verification requirement*, not the underlying coinsurance percentage itself, unless full agreed value coverage is purchased.

24.2 Actual Cash Value Calculations

Example: A roof was installed 8 years ago at a cost of $16,000 and has an expected useful life of 20 years. It is destroyed in a covered windstorm.

- Step 1: Annual depreciation = $16,000 ÷ 20 years = $800/year
- Step 2: Accumulated depreciation = $800 × 8 years = $6,400
- Step 3: ACV = $16,000 – $6,400 = $9,600

24.3 Pro Rata Liability (Other Insurance)

Example: A building is insured under two policies: Policy 1 for $300,000 and Policy 2 for $200,000 (total $500,000 in force). A covered loss of $100,000 occurs.

- Policy 1's share = ($300,000 ÷ $500,000) × $100,000 = $60,000
- Policy 2's share = ($200,000 ÷ $500,000) × $100,000 = $40,000

24.4 Auto Liability Split Limits

Example: A policy has 50/100/25 split limits. An at-fault accident results in $60,000 of injuries to a single claimant and $30,000 of property damage.

- Bodily injury per-person limit is $50,000 — the policy pays only $50,000 of the $60,000 injury claim; the insured is personally responsible for the remaining $10,000 (this is why higher limits or an umbrella policy are often recommended).
- Property damage limit is $25,000 — the policy pays only $25,000 of the $30,000 property damage; again, the insured bears the $5,000 difference.

24.5 Depreciation with Replacement Cost Holdback

Example: A homeowner has replacement cost coverage on contents. A destroyed television had an ACV of $300 and a replacement cost of $500.

- Step 1: The insurer initially pays the **ACV** — $300.
- Step 2: Once the insured actually replaces the item and provides proof of purchase, the insurer pays the **recoverable depreciation** — the additional $200 — completing the replacement cost settlement of $500 total.

Chapter 25: Additional Practice Questions (Scenario-Based)

51. A homeowner's detached garage is damaged by a windstorm. Under a standard HO-3 policy, this loss would be paid under:

A. Coverage A

B. Coverage B

C. Coverage C

D. Coverage D

52. A tenant's personal belongings are damaged by fire in a rented apartment. The tenant has no interest in the building itself. Which policy form is most appropriate?

A. HO-3

B. HO-4

C. HO-6

D. DP-3

53. An insured's homeowners policy has a $250,000 dwelling limit and a 10% Coverage B limit. What is the maximum payable for a detached shed, assuming no other adjustments?

A. $10,000

B. $25,000

C. $50,000

D. $100,000

54. A driver carries only the state's minimum required liability limits and causes an accident resulting in $80,000 of injuries to another driver, exceeding the at-fault driver's $50,000 per-person limit. If the injured driver carries UIM coverage on their own policy, that coverage would:

A. Never apply, since the other driver had some insurance

B. Potentially pay the difference between the at-fault driver's limit and the injured driver's actual damages, up to the UIM limit

C. Only apply if the at-fault driver had zero insurance

D. Automatically match whatever the injured party demands

55. A commercial building sustains water damage from a burst pipe. Under the Broad Form Causes of Loss, this would generally be:

A. Automatically excluded under all circumstances

B. Covered, since the Broad Form adds water damage from plumbing/appliance leaks

C. Only covered under the Basic Form

D. Only covered if a separate flood policy is purchased

56. A manufacturer's CGL policy would most likely exclude which of the following?

A. A customer injured by a defective product the insured manufactured, seeking bodily injury damages

B. The cost to recall and repair the insured's own defective products before they cause injury

C. A visitor who slips and falls at the insured's manufacturing facility

D. A claim of libel arising from the insured's product advertising

57. An employee is injured while performing normal job duties and is expected to fully recover in six weeks, unable to work at all during that time. This is best classified as:

A. Permanent total disability

B. Temporary total disability

C. Permanent partial disability

D. Temporary partial disability

58. A general contractor requires a subcontractor to name the general contractor as an additional insured on the subcontractor's CGL policy. This is most directly intended to protect the general contractor from:

A. Its own employees' workers compensation claims

B. Third-party liability claims arising out of the subcontractor's work

C. Property damage to its own equipment

D. Errors made by the contractor's accountant

59. A business wants coverage for a data breach that results in the theft of customer credit card information. The most appropriate coverage is:

A. Standard CGL policy

B. Standard commercial property policy

C. A standalone cyber liability policy

D. A fidelity bond

60. An insured intentionally sets fire to their own overinsured business to collect insurance proceeds. This is an example of:

A. A physical hazard

B. A morale hazard

C. A moral hazard

D. Adverse selection unrelated to hazard

Answer Key: Chapter 25

#	Answer	Rationale
51	B	Detached structures like a garage are covered under Coverage B – Other Structures.
52	B	HO-4 (Contents Broad Form/renters) is designed for tenants with no ownership interest in the building.
53	B	10% × $250,000 = $25,000, the typical Coverage B sublimit relative to Coverage A.
54	B	UIM coverage responds when the at-fault driver's limits are insufficient to cover the injured party's damages.
55	B	The Broad Form specifically adds coverage for water damage from plumbing and household appliance leaks (nc
56	B	CGL excludes the cost to repair/recall the insured's own defective product; it covers resulting third-party injury, n
57	B	Temporary total disability applies when a worker cannot work at all for a limited, healing period.
58	B	Additional insured status protects the general contractor from liability claims tied to the subcontractor's work.
59	C	A standalone cyber liability policy is designed specifically for data breach costs and related third-party claims.
60	C	Intentionally causing a loss for financial gain is a classic example of a moral hazard (dishonesty).

Chapter 26: Case Studies — Applying the Concepts

Working through realistic scenarios is one of the best ways to prepare for scenario-based exam questions. Each case study below identifies the relevant coverage, walks through the reasoning, and highlights the underlying principle being tested.

26.1 Case Study: The Kitchen Fire

Facts: Maria owns her home under an HO-3 policy with a $300,000 Coverage A limit, $30,000 Coverage B, $150,000 Coverage C, and $60,000 Coverage D. A grease fire in her kitchen causes $40,000 of damage to the structure and destroys $12,000 of personal property. She and her family must stay in a hotel for three weeks while repairs are made, at a cost of $4,500.

Analysis:

- The $40,000 structural damage is paid under **Coverage A** (well within the $300,000 limit), since fire is a covered peril under the open-peril dwelling form.
- The $12,000 of destroyed personal property is paid under **Coverage C**, subject to any applicable sublimits for special categories of property (none appear to apply here).
- The $4,500 hotel cost is paid under **Coverage D – Loss of Use**, since the family cannot occupy the home due to a covered direct loss.
- No liability coverage (Coverage E or F) is implicated because no third party was injured and no third-party property was damaged.

Principle tested: Distinguishing between direct loss (structure/contents) and indirect/time-element loss (loss of use), and correctly mapping each to the appropriate coverage letter.

26.2 Case Study: The Uninsured Driver

Facts: Tom is stopped at a red light when he is rear-ended by a driver who fled the scene and cannot be identified. Tom suffers $35,000 in medical bills and his vehicle sustains $8,000 in damage. Tom carries 100/300/50 liability, $100,000 UM/UIM, and $500-deductible collision coverage.

Analysis:

- Since the at-fault driver cannot be identified (a hit-and-run), Tom's own **liability coverage (Part A)** does not apply — that coverage only pays for harm *Tom* causes to others.
- Tom's **medical bills** would be paid under his **UM coverage (Part C)**, up to his $100,000 limit, since a hit-and-run is typically treated as an uninsured motorist scenario.
- Tom's **vehicle damage** could be paid under his **collision coverage (Part D)**, subject to his $500 deductible, regardless of fault — collision coverage doesn't require identifying or pursuing the other driver. (Depending on the state and policy, UM property damage coverage might also apply, if purchased and if the state allows it, but collision is the more universally available option.)

Principle tested: Recognizing that a policyholder's own UM/collision coverages respond to protect them regardless of the other driver's identity or insurance status, and understanding which Part of the PAP applies to which type of loss.

26.3 Case Study: The Subcontractor's Mistake

Facts: A general contracting firm hires a subcontractor to install plumbing in a new commercial building. The subcontractor's faulty installation causes a pipe to burst months later, flooding several floors and damaging the building owner's property (who is neither the contractor nor the subcontractor). The building owner sues both the general contractor and the subcontractor.

Analysis:

- The **subcontractor's CGL policy** would likely respond to the building owner's property damage claim, since this is third-party property damage arising from the subcontractor's completed operations (not damage to the subcontractor's *own* work product, but to the owner's building and other property).
- If the general contractor was named as an **additional insured** on the subcontractor's CGL policy, the general contractor would also have coverage under that same policy for its own liability arising from the subcontractor's operations.
- The general contractor's **own CGL policy** would also potentially respond to defend the contractor, subject to its own terms, exclusions (like ongoing/completed operations provisions), and any other-insurance clause coordinating with the subcontractor's policy.

Principle tested: Understanding products-completed operations exposure, the purpose of additional insured endorsements, and how multiple potentially-responding policies interact.

26.4 Case Study: The Underinsured Warehouse

Facts: A business owns a warehouse valued at $2,000,000 for insurance purposes, subject to an 80% coinsurance clause under its commercial property policy. Due to a clerical error, the business only purchased $1,000,000 in coverage. A tornado causes $500,000 in covered damage.

Analysis:

- Required coverage = 80% × $2,000,000 = $1,600,000.
- Coinsurance fraction = $1,000,000 ÷ $1,600,000 = 0.625.
- Payment = 0.625 × $500,000 = $312,500 (before any deductible).
- The business bears the remaining $187,500 itself, as a co-insurer, due to being underinsured relative to the required amount.

Principle tested: Correctly applying the coinsurance formula and understanding the financial consequence of failing to insure to the required percentage of value.

Chapter 27: Exam Readiness and State-Specific Guidance

27.1 Understanding Your State's Exam Content Outline

Every state publishes (directly or through its third-party testing vendor, commonly Pearson VUE or PSI) a **candidate information bulletin** or **content outline** describing exactly what percentage of the exam is devoted to each topic area (e.g., general insurance concepts, property, casualty/auto, and state laws/regulations). Because state insurance codes vary — for example, in minimum auto liability limits, cancellation notice periods, or specific unfair trade practice statutes — always cross-reference the general principles in this guide against your own state's published outline and statutes before your exam date.

27.2 General Exam-Day Strategy

- Read each question carefully and identify the **specific coverage part or policy** being described before evaluating the answer choices.
- Watch for **absolute qualifiers** in answer choices (words like "always," "never," or "only") — insurance rules frequently have exceptions, so absolute statements are often (but not always) incorrect.
- For calculation questions, **write out each step**, rather than trying to compute the final answer in your head, to avoid careless arithmetic errors.
- If a question seems to have two plausible answers, look for the answer that is **most specific and most directly responsive** to the facts given, rather than a more general statement that is only partially applicable.
- Manage your time — if a question is taking too long, mark your best guess, flag it if the exam software allows, and return to it after completing the questions you're confident about.

27.3 Common Areas of Confusion

Based on the concepts covered in this guide, candidates most frequently confuse:

- **Actual cash value vs. replacement cost** valuation and when each applies.
- **Named-peril vs. open-peril** policies and which party bears the burden of proof.
- **Occurrence vs. claims-made** CGL triggers and the role of the retroactive date.
- **Coinsurance calculations**, especially remembering to compute the *required* amount before applying the fraction.
- **Which Part of the Personal Auto Policy** applies to a given claim scenario (Parts A through F).
- **Producer vs. broker** representation, and to whom each owes their primary duty.

- **Umbrella "drop-down" coverage** vs. simple excess coverage that never broadens the underlying terms.

27.4 A Note on Continuing Education

Passing the licensing exam is only the first step. Nearly every state requires ongoing **continuing education (CE)**, often including a specific number of ethics hours, to maintain an active producer license. Building strong habits now — reading policy forms carefully, staying current on regulatory changes, and understanding the "why" behind each rule — will serve you throughout your career, not just on exam day.

Appendix A: Quick-Reference Formula Sheet

Coinsurance Payment:

Amount Paid = (Amount Carried ÷ Amount Required) × Loss – Deductible, where Amount Required = Coinsurance % × Value of Property

Actual Cash Value:

ACV = Replacement Cost – Accumulated Depreciation

Annual Straight-Line Depreciation:

Annual Depreciation = Original Cost ÷ Useful Life (in years)

Pro Rata Contribution (Other Insurance):

Insurer's Share = (That Insurer's Limit ÷ Total Limits of All Policies) × Loss

Replacement Cost Holdback:

Recoverable Depreciation = Replacement Cost – ACV (paid only after actual repair/replacement and proof of purchase)

Loss Ratio (used in underwriting/rating analysis):

Loss Ratio = Incurred Losses ÷ Earned Premium

Combined Ratio (insurer profitability measure):

Combined Ratio = Loss Ratio + Expense Ratio (a combined ratio under 100% generally indicates an underwriting profit, before investment income)

Appendix B: Sample State Minimum Auto Liability Limits (Illustrative)

The figures below are illustrative examples only, meant to demonstrate how split-limit requirements are typically expressed — they are not a substitute for your own state's actual current statutory minimums, which change periodically and vary significantly by state.

Example Limit Format	Bodily Injury Per Person	Bodily Injury Per Accident	Property Damage Per Accident
Illustrative "25/50/25"	$25,000	$50,000	$25,000
Illustrative "25/50/10"	$25,000	$50,000	$10,000
Illustrative "30/60/25"	$30,000	$60,000	$25,000
Illustrative "50/100/50"	$50,000	$100,000	$50,000

Important: Always confirm your specific state's current mandatory minimum limits, whether your state follows a no-fault/PIP system, and whether uninsured/underinsured motorist coverage is mandatory or must be rejected in writing, using your official state candidate handbook or your state insurance department's website.

About This Guide

This Property & Casualty Insurance Study Guide was written as an original, independent exam-preparation resource covering general principles commonly tested on U.S. state P&C; producer licensing examinations. It draws on widely available, generic insurance concepts, standard ISO-style policy structures referenced in the public domain, and general regulatory frameworks (such as NAIC model acts) rather than any single publisher's proprietary text. Always supplement this guide with your own state's official licensing content outline, statutes, and your chosen exam prep course materials, since specific numeric thresholds, mandatory coverages, and procedural rules vary by state and change over time.

End of Guide

Appendix C: Additional Rapid-Review Questions

61. The party in a suretyship relationship who ultimately bears financial responsibility for a covered bond loss is the:

A. Obligee

B. Surety

C. Principal

D. Reinsurer

62. Which of the following is a key difference between a BOP and a full Commercial Package Policy?

A. A BOP always costs more

B. A BOP pre-packages property and liability coverage for smaller, homogeneous risks

C. A BOP includes workers compensation automatically

D. A CPP cannot include liability coverage

63. In ocean marine insurance, when cargo is intentionally jettisoned to save a voyage and all benefiting parties share the loss proportionately, this is called:

A. Subrogation

B. General average

C. Coinsurance

D. Salvage

64. A cyber liability policy would most likely respond to which of the following?

A. An employee's on-the-job back injury

B. A data breach exposing customer credit card numbers

C. A company vehicle accident

D. A slip-and-fall at the office

65. D&O; "Side A" coverage is specifically designed to:

A. Reimburse the company for indemnifying its directors and officers

B. Protect individual directors/officers directly when the company cannot indemnify them

C. Cover the company itself for securities claims

D. Replace workers compensation coverage for executives

Answer Key: Appendix C

#	Answer	Rationale
61	C	The principal is ultimately responsible for reimbursing the surety for any covered bond loss.
62	B	A BOP is a simplified, pre-packaged form combining property and liability for smaller, similar risks.
63	B	General average requires all parties who benefited from an intentional sacrifice to share the loss.
64	B	Cyber liability policies are specifically designed to respond to data breach exposures.
65	B	D&O Side A protects individuals directly when the company is unable to indemnify them.